

1) The totem pole of the big expenses in your life

The big expenses in my life will be:

- Marriage
- A car
- A home
- Child's College
- Child's marriage
- Retirement

Add post-graduation and you'll have an entire scope of the big expenditures possible. Knowing the big expenditures in your life and an estimate of how much they'd cost ^[2], mean you're 33% en-route to the 'Good Life'.

Much like constructing a home, when you'd plan according to your total money outlay, life's totem pole requires allocations. To me, the most important goals are retirement and paying for children's college. Retirement, because there will be no influx of money for a long period and child's college, because I believe in letting them choose their career path not based on financial impetus. The remaining expenses - a car, a 3BHK home are fungible and depend on time and circumstances.

Retirement, being a common goal, will probably take top priority for you as well. For the rest of the big expenses, you can do play-doh, as you burgeon or lessen the amount, based on situations and necessity. We will look at this in detail by week 3.

2) Compound Interest

<imagine a gif of Warren Buffett saying, 'most important' with fingers pointing out the book>

As 2014 approached an end, I spent days listening to financially-literate adults professing their wares of wealth accumulation. I was involved in a seminar where one financial blogger and his colleagues giddily discussed the landscape of financial knowledge. In their opinion, the country had moved on from a few nerd heads to an entire ecosystem of financially-smart people because they understood compound interest. And they led me into